

Bollinger Bands Volatility & Breakout Strategy Guide

Overview

Bollinger Bands consist of a middle 20 SMA band and two outer bands set at 2 standard deviations above and below the middle line.

Key Rules

- **Bollinger Squeeze:** Narrowing bands indicate low volatility, usually followed by an explosive breakout move.
- **Upper Band Touch:** Asset is relatively expensive; look for confirmation before buying.
- **Lower Band Touch:** Asset is relatively cheap; potential mean-reversion buying opportunity if supported by RSI oversold.